income, contributed Rs 450 crore (5.2 per cent) and the contribution of government services (administration) to GDP was valued at Rs 460 crore (5.3 per cent).

Together, services, though quite disorganized and fragmented, contributed Rs 3080 crore of national income in 1948–1949, which formed 35.4 per cent of the national GDP.

Services Have Been Contributing More than 50 Per Cent of Growth since the 1970s

India placed huge emphasis on industrialization in the 1950s and 1960s. The share of services in India's GDP averaged 28.2 per cent in 1950s with services contributing 32.2 per cent of the growth taking place during this period. The contribution of services improved in the 1960s with services GDP rising to 31.4 per cent in the decade and contribution of services improving to 38.1 per cent in the growth of GDP during this decade.

The 1970s saw services taking off in a major way. Their contribution to GDP growth in this decade crossed 50 per cent and has been measured at 52.7 per cent. This enhanced the share of services in India's GDP to 34.4 per cent. The decade of the 1980s saw the share of services in growth falling to less than 50 per cent at 43.6 per cent. As it was still higher than the share of services in GDP, the share of services in GDP improved to 38.6 per cent in the 1980s.

At the time India abandoned the policies of nationalization and de-privatization and adopted the policies of re-privatization of the economy in 1991, the services GDP at factor cost was Rs 81,260 crore (1980–81 prices), which made up 38.7 per cent of India's GDP.

Rising formalization of the services economy saw the share of trade, hotels, transport and communication group of services improving from 44.3 per cent in 1950s to 48.7 per cent in 1980s. On the contrary, the share of the finance, insurance, real estate and business services group declined from 23